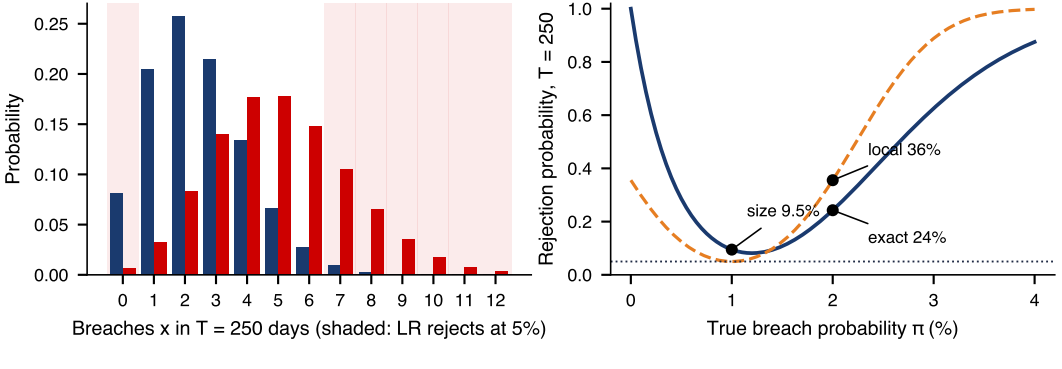
Probability
0.25
0.20
0.15
0.10
0.05
0.00
0 1 2 3 4 5 6 7 8 9 10 11 12
Breaches x in T = 250 days (shaded: LR rejects at 5%)
Rejection probability, T = 250
1.0
0.8
0.6
0.4
0.2
0.0
local 36%
size 9.5%
exact 24%
0 1 2 3 4
True breach probability π (%)
P(x), correct model, π = 1%
P(x), true π = 2%
Exact rejection probability
Local asymptotic power